

Caris Life Sciences

NASDAQ : CAI \$8.66B mkt cap · 283M sh · \$800M cash, \$400M debt · FY25 revenue \$812M (+97%!); GM 47%→65%, 68% in Q2'26; adj-EBITDA +\$138M; · Mature-FCF-positive; IPO Jun-2025 @ \$21, now \$30.65 (+46%); FY26 guide raised \$1.03-1.04B (+27-28%); ~\$0.4B net cash; Halbert ~44% vote; Company DCF SBC ~\$70M flatters adj-EBITDA; ~\$33M of FY25 rev was reimbursement true-ups

\$30.65

THE CENTRAL QUESTION

After doubling on a beat-and-raise, Caris trades ~8x sales — level with Tempus — with the base case ~37% below the price: is the market right to pay now for Caris Detect and the data platform before either shows revenue?

Caris Life Sciences is an AI precision-oncology diagnostics company — whole-exome/transcriptome tumor profiling plus blood-based testing — that IPO'd June 2025 at \$21.00 and now trades \$30.65 after doubling since July on a beat-and-raise (Q2'26 revenue +45%, gross margin 68%, FY26 guide raised to \$1.03-1.04B) and favorable preliminary 2027 Medicare rates. At ~8x sales it is priced level with Tempus, while owner free cash flow runs ~zero this year as it builds out Caris Detect, a cash-pay screening test with no revenue yet. Weighted fair value \$23.62, ~23% below spot; the base case (\$19.35) sits ~37% below, with ~73% of the probability mass at or below the price.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$23.62

expected fair value today
-22.9% vs spot \$30.65

most likely case (base) -36.9% · 73% at or below spot

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$36.61	\$56.78	\$88.11	\$136.83
1.19× spot	1.85× spot	2.87× spot	4.46× spot

WEIGHTING RATIONALE

Ultra Bear 10% Q4 stumble then stall, growth ~6.6%, the true-up reverses, margins near zero — DCF \$5.10.

Bear 27% Modest guide miss, decelerates to ~12%, the multiple re-rates down — DCF \$9.97.

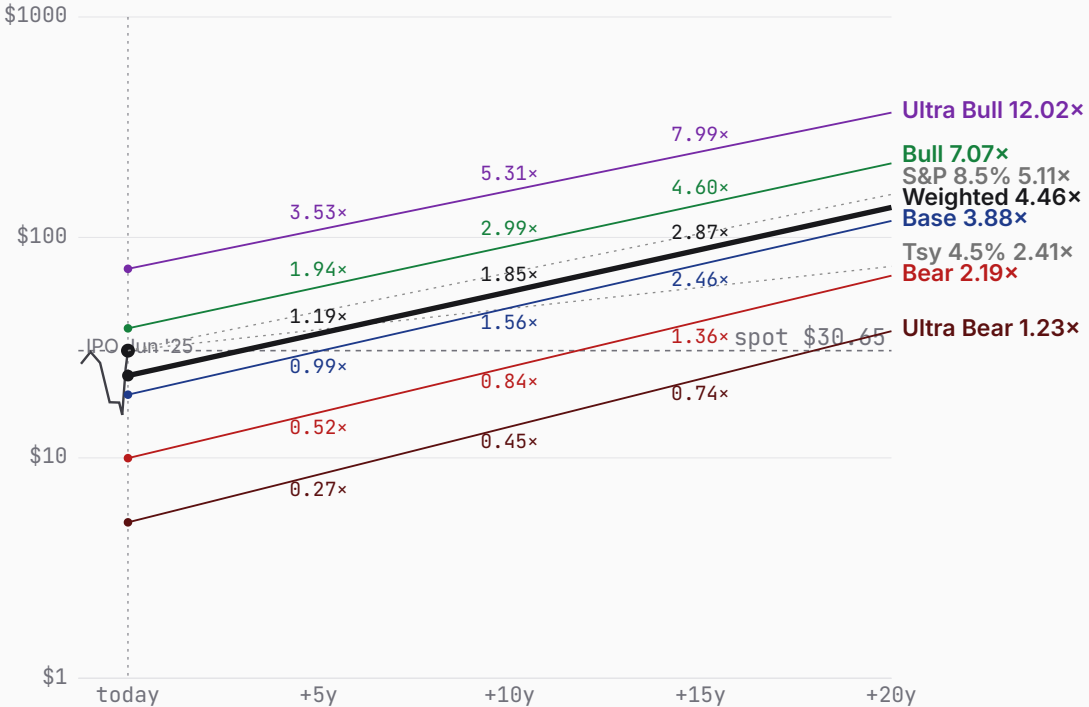
Base 36% ~17.4% growth, margin inflection holds to 21% owner-FCF — DCF \$19.35, ~37% below spot.

Bull 18% ~22% hypergrowth, the data moat drives operating leverage — DCF \$38.69.

Ultra Bull 9% ~27% growth, oncology-data standard, software-like 35% margins — DCF \$72.05.

Bull (18%) + Ultra Bull (9%) together contribute \$13.45 — 57% of the \$23.62 expected value despite 27% combined probability. Today's spot (\$30.65) sits 30% above the weighted expected; the forward-weighted value reaches spot in about 3 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$5.10	BEAR	\$9.97	BASE	\$19.35	BULL	\$38.69	ULTRA BULL	\$72.05
	-83.4% vs spot		-67.5% vs spot		-36.9% vs spot		+26.2% vs spot		+135.1% vs spot
CAGR +6.6% WACC 10.5% CAGR +6.6% Prob 10%		CAGR +12.0% WACC 10.0% CAGR +12.0% Prob 27%		CAGR +17.4% WACC 9.5% CAGR +17.4% Prob 36%		CAGR +22.1% WACC 9.0% CAGR +22.1% Prob 18%		CAGR +26.8% WACC 8.5% CAGR +26.8% Prob 9%	
Q4 stumble, then stall		Decelerates; multiple ran ahead		Solid growth, the margin inflection holds		Hypergrowth + data-moat leverage		Becomes the oncology-data standard	



Caris Life Sciences scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 10% Bear 27% Base 36% Bull 18% Ultra Bull 9% · Weighted expected \$23.62 (-22.9% vs spot)

ULTRA BEAR	\$5.10	BEAR	\$9.97	BASE	\$19.35	BULL	\$38.69	ULTRA BULL	\$72.05
	-83.4% vs spot		-67.5% vs spot		-36.9% vs spot		+26.2% vs spot		+135.1% vs spot

Probability 10%

Q4 stumble, then stall

WHY 10%

Requires the volume engine to stall from Q4 onward and the true-up to be a one-off rather than a recurring feature of payer settlements. With H1'26 booked at +59% a 2026 collapse is arithmetically foreclosed, so the stall must arrive from FY27 — a longer conjunction than in July. Trimmed from 13% to 10%, the three points to the base.

WHAT HAPPENS

FY26 lands ~\$983M after a Q4 stumble — a miss of the raised guide — and revenue then compounds only ~6.6% as test-volume growth stalls and reimbursement true-ups reverse rather than recur. The ~\$81M of prior-period catch-ups booked in Q4'25 alone make the H2'26 comparison optically weak, and the reported growth rate is exposed as flattered.

Margins barely move off the floor — owner-FCF ~0% this year and only ~10% by FY30 — as price competition from Tempus, Guardant and Foundation erodes the gross-margin gains. The ~8x sales multiple compresses hard against a decelerating, low-margin base. DCF lands at \$5.10, down 83%.

Probability 27%

Decelerates; multiple ran ahead

WHY 27%

The honest deceleration case — the +27-28% guide is still a steep step-down from +97%, and a further slide plus pricing pressure is plausible. Held at 27% because the evidence is mixed: the guide was raised and the preliminary 2027 CMS rates went Caris's way, but Q2'26 clinical volume printed +18% (below the ~20% the flywheel needs), the pharma/data line ran ~\$17M in H1 against a \$75-85M guide — the data moat's direct monetization is lagging — and the rates stay preliminary until November.

WHAT HAPPENS

FY26 comes in ~\$1.02B — a modest miss of the raised \$1.03-1.04B guide — then growth decelerates from FY27 to ~12% compounded as the H2'25 true-up comps and per-test pricing pressure bite and the easy share gains slow. The margin inflection partly holds, reaching mid-teens owner-FCF, but not fast enough to outrun a contracting multiple.

The market re-rates an ~8x-sales name toward something closer to a low-double-digit grower, and the post-rally premium unwinds. At a 0%-to-15% owner-FCF path the DCF is \$9.97, down 67%. The setup is a quality business priced ahead of its delivery.

Probability 36%

Solid growth, the margin inflection holds

WHY 36%

Centered on management hitting the raised FY26 guide and sustaining the volume KPI while margins keep inflecting — the continuation of what the last two years and H1'26 already showed. Raised from 33% to 36% with the points the ultra bear released as a 2026 collapse became foreclosed; still below the 45-55% modal norm because the ~20% volume threshold (+18% in Q2'26) and the pharma/data line are unproven.

WHAT HAPPENS

Revenue compounds ~17.4% off the raised \$1.03-1.04B FY26 guide as clinical test volume grows ~20% and Caris Assure, MI Cancer Seek and the MolDX-covered ChromoSeq myeloid assay (May-2026) add incremental lives. Gross margin already reached 68% in Q2'26; owner-FCF is ~1% this year under the Detect build-out, then leverages toward 21% by FY30.

This is the modal outcome — a real growth-plus-margin story that delivers, not a moonshot. At \$19.35 the DCF sits ~37% below the \$30.65 price — executing the plan no longer clears spot; the market has moved past the base case.

Probability 18%

Hypergrowth + data-moat leverage

WHY 18%

Needs growth to stay above 20% well past the raised guide and the gross-margin gains to keep compounding into operating leverage. No FY27 guide exists and Caris Detect has no disclosed revenue, so the condition is not yet evidenced; held at 18%.

WHAT HAPPENS

Revenue compounds ~22% as the proprietary whole-exome/transcriptome data asset and the ADAPT platform drive both test volume and pharma partnership revenue, while comprehensive profiling takes share from narrower NGS panels.

Operating leverage on a fixed data and lab base pushes owner-FCF from ~2% this year toward 29%, software-like for diagnostics. The market rewards durable hypergrowth plus a widening margin with an expanded multiple. DCF reaches \$38.69, up 26%, as the data-moat thesis starts to show in the financials.

Probability 9%

Becomes the oncology-data standard

WHY 9%

The full platform win — durable hypergrowth, a true data-network effect, and software-like margins together. Each is individually demanding and the combination is a tail, so it carries 9% — meaningful upside optionality, not a central expectation.

WHAT HAPPENS

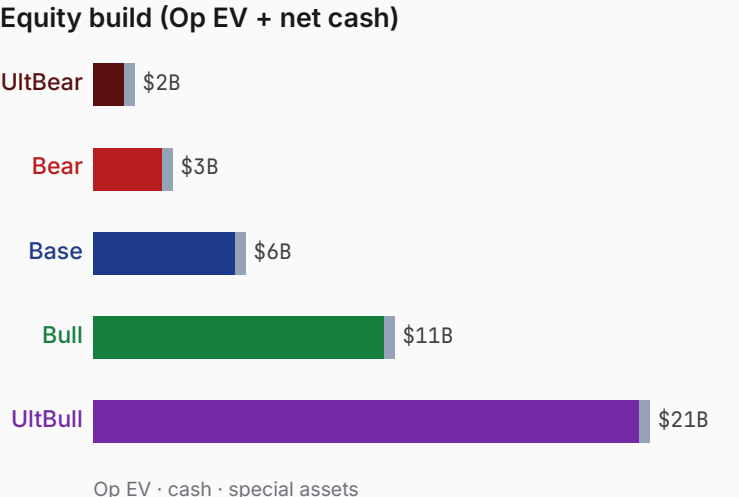
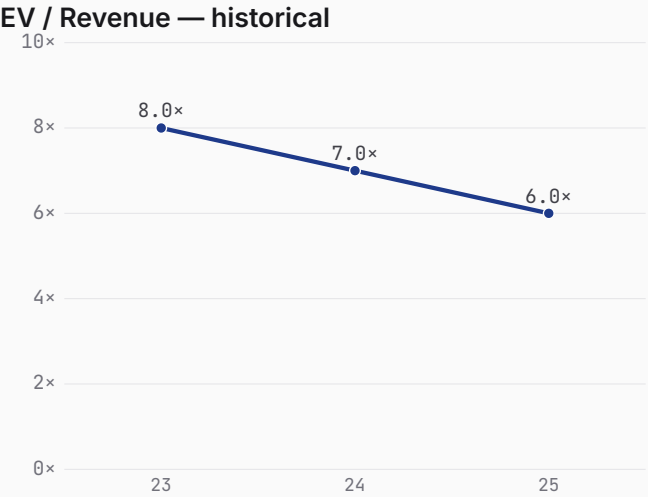
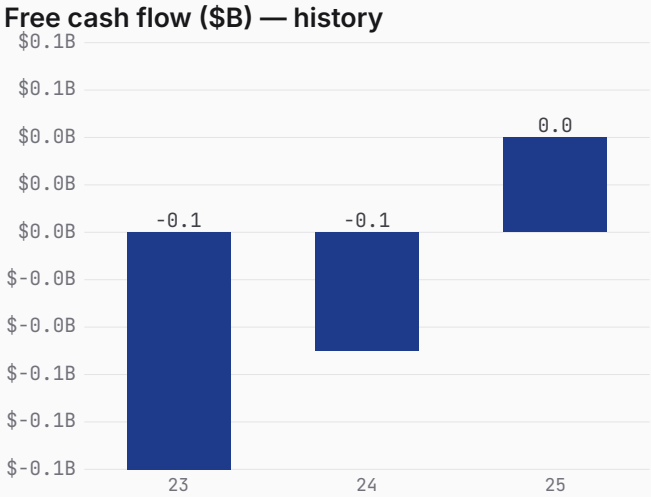
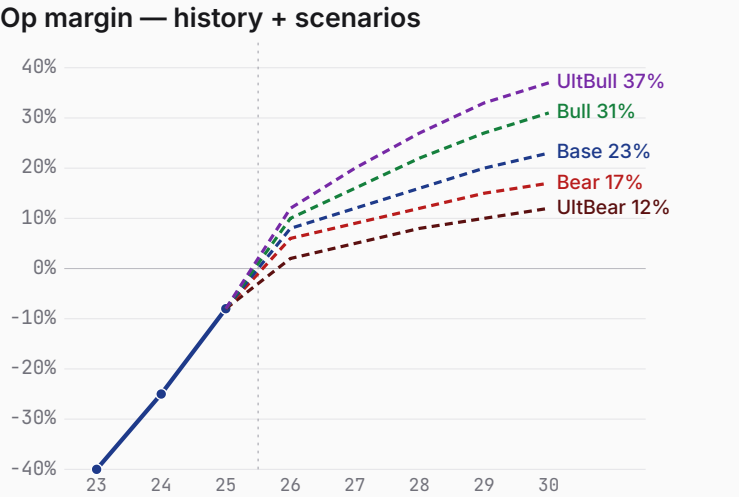
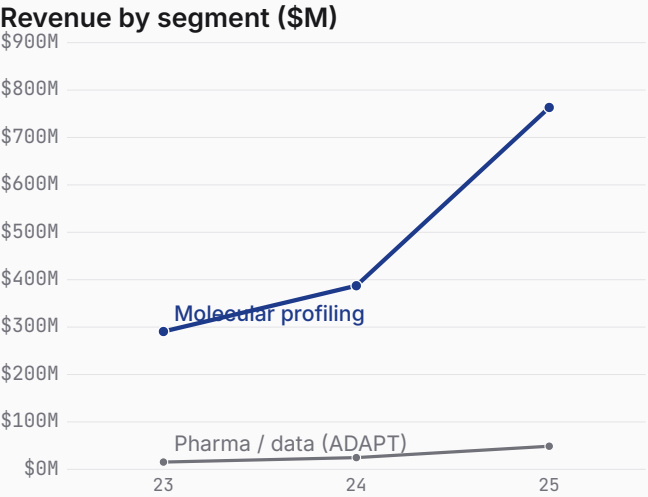
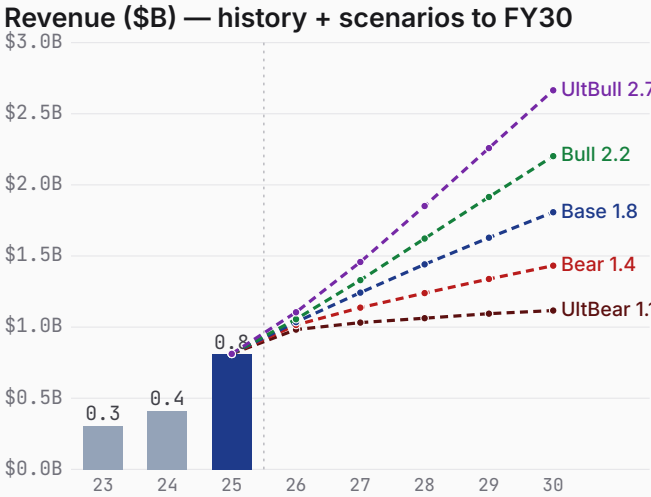
Revenue compounds ~27% as Caris establishes its molecular database as the reference standard for oncology decision-making, with comprehensive profiling, blood-based MRD and the ADAPT AI layer compounding into a network where more tests improve the data and the data wins more tests. Caris Detect (launched Jul-2026: \$3,500 cash-pay, no coverage, capacity being tripled to ~\$3B, demand ahead of plan; ACHIEVE-1 stage I-II sensitivity 61%, specificity 95%) is unpriced optionality on top — no FDA filing, so outside the 2028 Medicare MCED pathway — narrated here, not modeled.

Owner-FCF margins reach ~35%, approaching software economics as the data and AI layer scales near-zero-marginal-cost. At \$72.05 the DCF is ~2.4x the price. This is the platform outcome where the cornered data resource and scale economics fully express.

Caris Life Sciences business snapshot

Bear \$9.97 Base \$19.35 Bull \$38.69

FY23-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · FY2025 + H1'26 results (IPO Jun'25)



Sources: Caris Life Sciences FY2025 results + H1'26 (Q2 8-K 2026-08-05; CIK 2019410), IPO 424B4 (Jun 2025), raised FY26 guidance. Revenue as a growth-rate path off FY25 (\$812M, +97%); FCF = revenue x an SBC-adjusted owner-FCF margin (~0% in FY26 under the Detect build-out; SBC ~\$70M deducted); Gordon terminal at scenario WACC. Pre-IPO history/EV-rev are notional. EV/sales vs precision-diagnostics peers.

Caris Life Sciences 7 Powers · the moat, scored

Bear \$9.97 Base \$19.35 Bull \$38.69

Arena. Comprehensive molecular diagnostics and oncology data — Caris competes with Tempus, Guardant, Roche's Foundation Medicine, Natera and Abbott (Exact Sciences, acquired Mar-2026) for tumor-profiling and liquid-biopsy volume. The Caris Detect launch (Jul-2026) adds a cash-pay multi-cancer early-detection front versus Grail's Galleri and Exact's Cancerguard, where Medicare coverage under the 2026 MCED Act is gated on FDA approval — a pathway Grail has entered (FDA panel Sep-2026) and Caris has not.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies 	Fixed lab and data-platform costs leverage as test volume compounds; +97% growth drove gross margin 47% to 65%.
Network Economies 	More tests enrich the molecular database, which sharpens the ADAPT AI and wins more clinician and pharma demand.
Counter-Positioning 	Whole-exome/transcriptome depth is hard for pure-NGS-panel incumbents to match without re-tooling, but not a true business-model trap.
Switching Costs 	Clinician workflow integration and longitudinal patient data create some stickiness, modest versus entrenched EHR or pathway tools.
Branding 	Growing reputation in oncology decision support, but clinical results and reimbursement, not brand, drive adoption.
Cornered Resource · thesis leans here 	The proprietary whole-exome/transcriptome dataset plus the ADAPT platform — the deepest differentiator and the basis of the data moat.
Process Power 	Integrated profiling-plus-AI workflow is hard to replicate quickly, but rivals are closing on capability.

PEER SET

Tempus (TEM) AI-precision-oncology data peer; owner-FCF still negative, the direct comp — Personalis merger S-4 filed (~\$1.5B all-stock, close late-2026/early-2027) to build MRD; FDA-approved xT CDx (May-2026) unlocks unified ADLT pricing from 2027 25% gr · ~8.5x sales
Guardant Health Liquid-biopsy leader, still loss-making; FY26 guide +36-38%; Liquid CDx FDA-approved May-2026, stepping to the \$8,455 Medicare rate 37% gr · ~10% mgn · ~6x sales
Foundation Medicine Roche-owned tumor-profiling division; deep-pocketed incumbent, not standalone-priced · division
Natera Genetic testing and MRD; faster-growing, ~breakeven, richer multiple 31% gr · ~9x sales

THREAT VECTORS · FALSIFIERS

scale/pricing · Tempus, Guardant, Foundation
falsifier: Per-test pricing falls under payer and competitive pressure, halting the margin inflection — trips if gross margin falls below 65% (the FY25 level) for two consecutive quarters, or final CY2027 rates (Nov-2026) land below the preliminary \$8,455 for MI Cancer Seek or \$5,250 for Caris Assure. First test survived: the preliminary schedule cut ~1,100 codes but held or raised both; Q2'26 gross margin 68%.

Cornered Resource · Tempus, Roche, Natera
falsifier: A rival assembles a comparable comprehensive-profiling dataset before Caris's scale and network effects lock in — trips when a rival reports a completed dataset of at least 100,000 multimodal whole genomes, Tempus's first stated milestone (effort launched Sep-11-2026; 1M-genome goal). Tempus's ~\$1.5B Personalis deal (S-4 filed) separately consolidates the MRD front. Not tripped: an effort is not a dataset.

Network Economies · well-capitalized incumbents
falsifier: Volume growth stalls below ~20% (Q2'26 printed +18%), so the data and scale flywheel never reaches the operating leverage the bull case needs. MRD is crowding: Natera Signatera ~283k tests (+56%), Guardant Reveal >2x, FoundationOne MRD (May-2026, Medicare-covered) and Tempus/Personalis are all ahead of Caris's two H2-2026 MRD launches, with MoIDX and New York State decisions still pending.

COMPETITIVE READ

Caris is originating a plausible cornered resource — a proprietary whole-exome/transcriptome dataset feeding the ADAPT AI — with scale and network economics building as volume compounds, already visible in the 47%-to-68% gross-margin move. Durability is medium, not high — Foundation has Roche's balance sheet, Tempus has now moved on the core dataset (100k genomes, Sep-2026) as well as MRD, and reimbursement pricing is the shared vulnerability, though it held its first, preliminary test. The falsifier the bull must clear is sustained ~20%+ volume growth (Q2'26: +18%) with the gross margin holding the high-60s; Detect's screening front is contested with Grail on an FDA/Medicare pathway Caris has not entered.

Caris Life Sciences show your work

Bear \$9.97 Base \$19.35 Bull \$38.69 · Weighted \$23.62 (-22.9%)

ULTRA BEAR					\$5.10	BEAR					\$9.97	BASE					\$19.35	BULL					\$38.69	ULTRA BULL					\$72.05						
ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS											
5y revenue CAGR (%)					+6.6	5y revenue CAGR (%)					+12.0	5y revenue CAGR (%)					+17.4	5y revenue CAGR (%)					+22.1	5y revenue CAGR (%)					+26.8						
Year-5 op margin (%)					12.0	Year-5 op margin (%)					17.0	Year-5 op margin (%)					23.0	Year-5 op margin (%)					31.0	Year-5 op margin (%)					37.0						
WACC (%)					10.5	WACC (%)					10.0	WACC (%)					9.5	WACC (%)					9.0	WACC (%)					8.5						
Terminal growth (%)					3.0	Terminal growth (%)					3.5	Terminal growth (%)					4.0	Terminal growth (%)					4.5	Terminal growth (%)					5.0						
Terminal FCF (\$B)					\$0.11B	Terminal FCF (\$B)					\$0.21B	Terminal FCF (\$B)					\$0.38B	Terminal FCF (\$B)					\$0.64B	Terminal FCF (\$B)					\$0.93B						
Starting revenue (\$B)					0.81	Starting revenue (\$B)					0.81	Starting revenue (\$B)					0.81	Starting revenue (\$B)					0.81	Starting revenue (\$B)					0.81						
Scenario probability (%)					10	Scenario probability (%)					27	Scenario probability (%)					36	Scenario probability (%)					18	Scenario probability (%)					9						
5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B											
FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF	
FY26	0.98	+2%	+0.00	+0.00		FY26	1.02	+6%	+0.00	+0.00		FY26	1.04	+8%	+0.01	+0.01		FY26	1.06	+10%	+0.02	+0.02		FY26	1.10	+12%	+0.03	+0.03		FY26	1.10	+12%	+0.03	+0.03	
FY27	1.03	+5%	+0.03	+0.03		FY27	1.14	+9%	+0.08	+0.07		FY27	1.24	+12%	+0.12	+0.10		FY27	1.33	+16%	+0.19	+0.16		FY27	1.46	+20%	+0.26	+0.22		FY27	1.46	+20%	+0.26	+0.22	
FY28	1.06	+8%	+0.06	+0.05		FY28	1.24	+12%	+0.12	+0.09		FY28	1.44	+16%	+0.20	+0.15		FY28	1.62	+22%	+0.33	+0.25		FY28	1.85	+27%	+0.46	+0.36		FY28	1.85	+27%	+0.46	+0.36	
FY29	1.09	+10%	+0.09	+0.06		FY29	1.34	+15%	+0.17	+0.12		FY29	1.63	+20%	+0.29	+0.20		FY29	1.91	+27%	+0.48	+0.34		FY29	2.26	+33%	+0.70	+0.51		FY29	2.26	+33%	+0.70	+0.51	
FY30	1.12	+12%	+0.11	+0.07		FY30	1.43	+17%	+0.21	+0.13		FY30	1.81	+23%	+0.38	+0.24		FY30	2.20	+31%	+0.64	+0.41		FY30	2.67	+37%	+0.93	+0.62		FY30	2.67	+37%	+0.93	+0.62	
Σ PV explicit FCF					+0.20	Σ PV explicit FCF					+0.41	Σ PV explicit FCF					+0.71	Σ PV explicit FCF					+1.18	Σ PV explicit FCF					+1.74						
+ PV terminal (g 3.0%)					0.93	+ PV terminal (g 3.5%)					2.13	+ PV terminal (g 4.0%)					4.56	+ PV terminal (g 4.5%)					9.64	+ PV terminal (g 5.0%)					18.61						
EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE											
Operating EV					\$1.13B	Operating EV					\$2.54B	Operating EV					\$5.27B	Operating EV					\$10.82B	Operating EV					\$20.35B						
+ Cash & investments					\$0.80B	+ Cash & investments					\$0.80B	+ Cash & investments					\$0.80B	+ Cash & investments					\$0.80B	+ Cash & investments					\$0.80B						
– Total debt					\$0.40B	– Total debt					\$0.40B	– Total debt					\$0.40B	– Total debt					\$0.40B	– Total debt					\$0.40B						
= Equity value					\$1.53B	= Equity value					\$2.94B	= Equity value					\$5.67B	= Equity value					\$11.22B	= Equity value					\$20.75B						
FY30 shares (M)					300	FY30 shares (M)					295	FY30 shares (M)					293	FY30 shares (M)					290	FY30 shares (M)					288						
= Expected per share					\$5.10	= Expected per share					\$9.97	= Expected per share					\$19.35	= Expected per share					\$38.69	= Expected per share					\$72.05						
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT											
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		
\$8.40	\$13.84	\$22.80	\$37.57		\$16.06	\$25.86	\$41.65	\$67.07		\$30.46	\$47.95	\$75.49	\$118.84		\$59.53	\$91.59	\$140.93	\$216.83		\$108.34	\$162.90	\$244.95	\$368.32		\$108.34	\$162.90	\$244.95	\$368.32		\$108.34	\$162.90	\$244.95	\$368.32		
0.27×	0.45×	0.74×	1.23×		0.52×	0.84×	1.36×	2.19×		0.99×	1.56×	2.46×	3.88×		1.94×	2.99×	4.60×	7.07×		3.53×	5.31×	7.99×	12.02×		3.53×	5.31×	7.99×	12.02×		3.53×	5.31×	7.99×	12.02×		

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

David D. Halbert · founder-led

18 yrs in seat

44%insider ownership

HIGHkey-person risk

Capital allocation (realized)
IPO'd Jun-2025 at \$21.00, raising ~\$494M gross; FY2025 cash & equivalents jumped to \$796.3M (from \$64.0M FY24), ~\$418M net cash. The inflection: FY2025 operating cash flow turned positive at +\$83.2M (vs -\$245.2M FY24) and, against ~\$16.3M capex, free cash flow went positive ~+\$67M near GAAP breakeven. R&D \$101.6M FY25; no dividend; a \$100M buyback authorized Jun-2026. SBC \$70.0M FY25 (from \$18.6M, IPO-driven) flatters adj-EBITDA. Apr-2026: a \$400M Blue Owl/Blackstone term loan (SOFR+5.00%, 2031) replaced the 2023 loan, plus a \$300M acquisition delayed-draw — explicit M&A capacity; buyback executed 1.0M shares for \$17.9M; Q2-2026 FCF \$6.4M as a ~\$47M Detect inventory build absorbed OCF.

Incentive alignment
FY2025 total compensation ~\$20.35M, ~96% equity/option awards granted around the June 2025 IPO and only ~3.8% (~\$0.77M) base salary — a normal salary, not a nominal \$1. The dominant alignment lever is the founder stake (~44% economic, ~\$2.3B at the FY2025 price), not annual cash pay.

GOVERNANCE FLAGS

- single class of common stock, one vote per share (no dual-class / super-voting) — confirmed in the final 424B4, the post-IPO charter, 10-K Exhibit 4.2 and SEC XBRL; the draft S-1's Class A/B 10-vote language was dropped before the IPO
- founder David Halbert is the largest holder at ~44.6% economic = ~44.6% of the vote (single-class) — significant influence, below an outright majority; insiders together ~66%
- combined Founder + Chairman + CEO (Halbert), with a lead independent director (Peter Castleman) as the counterweight
- majority-independent board (8 of 10), fully independent Audit + Compensation committees, no standing nominating committee; the prospectus's 'may become a controlled company' language was conditional, never affirmed
- related-party: aircraft agreements with Halbert-affiliated entities (Caris Air), ~\$1.6-2.1M/yr net; co-founder Jon Halbert on the board since 2014
- material weakness in internal controls (FY25 10-K; remediating, no restatement); open DOJ civil investigative demand (Mar 2025, False Claims Act, Medicare 14-day rule; a 2022 ~\$2.9M settlement covered the same rule)
- Aug-Sep 2026 option-related insider sales ~\$28M (Spetzler, Brille, Poste); CEO Halbert sold nothing; director Jon Halbert bought \$990K (May-2026)

PEOPLE READ

Founder-Chair-CEO Halbert is the largest holder at ~44.6% on a clean single-class one-vote register (no super-voting — the draft S-1's dual-class was dropped before the IPO), giving significant influence below an outright majority; the board keeps fully-independent Audit/Comp, 8-of-10 independence and a lead independent director, and he is aligned via the stake + a fresh FCF inflection + a new \$100M buyback — with the combined Chair/CEO, the ~44.6% concentration, and a Halbert-affiliated aircraft related-party the offsets. The unremediated material weakness and open DOJ inquiry are new integrity-class flags; the score holds at 3 but sits at the 3/2 boundary.

THE FOUR LEGS

People

observable composite · 1-5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
-22.9% vs spot \$30.65

Caris Life Sciences supporting analysis · disclaimers · glossary

Bear \$9.97 Base \$19.35 Bull \$38.69

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Still cheaper than Tempus
At ~8.0x the FY26 guide vs Tempus at ~8.7x, Caris is marginally cheaper and already FCF-positive where Tempus is not — but the July discount has closed.
- 2

The margin inflection is real
Gross margin went 47%→65% in FY25 and 68% in Q2'26, with ~+\$27M of GAAP operating income in the quarter — observed leverage, not promised.
- 3

Comprehensive profiling is differentiated
Whole-exome + whole-transcriptome is deeper than rivals' pure-NGS panels, and the data asset compounds — a cornered resource as volume scales.
- 4

Reimbursement went Caris's way
CMS's preliminary 2027 fee schedule held MI Cancer Seek at \$8,455 and raised Caris Assure to \$5,250 while cutting ~1,100 codes — the pricing leg held.
- 5

Detect is upside no scenario carries
Caris Detect (Jul-2026, \$3,500 cash-pay) has demand ahead of plan; the model already charges its build-out (FY26 owner-FCF ~1%) but books its revenue in no scenario — any uptake is upside.

FALSIFICATION TRIGGERS

Bull validation Volume re-accelerating from +18% toward ~23%; gross margin holding high-60s; first disclosed Detect revenue; CMS final rates (Nov).	Bear validation Revenue undershooting the raised \$1.03-1.04B guide; pharma/data line missing its \$75-85M guide (H1 \$16.9M); MoIDX/NYS going against Assure.	Reframe needed Owner-FCF still negative through FY27 while adj-EBITDA is positive; material weakness unremediated at the FY26 10-K, or the DOJ inquiry escalating.
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Comprehensive molecular profiling — Whole-exome (all coding genes) + whole-transcriptome (all RNA) tumor sequencing — broader than rivals' targeted NGS panels.	MI Cancer Seek — Caris's combined DNA/RNA tumor-profiling assay; reimbursement reach is measured in covered lives (>225M).	Caris Assure — The blood-based liquid-biopsy line, including minimal-residual-disease (MRD) monitoring — detecting cancer DNA in blood to track recurrence.
Test-volume KPI — Clinical test volume growth (~20% guided) — the operating metric that drives diagnostics revenue, watched independently of price/mix.	Adj-EBITDA vs owner-FCF — Adj-EBITDA adds back ~\$70M of stock comp; owner-FCF treats SBC as a real cost, so it is the more conservative read of cash economics.	Reimbursement true-ups — Catch-up revenue booked when payers settle prior-period claims; ~\$33M in FY25, ~\$81M in Q4'25 alone — non-recurring, so it flatters growth.